From: Yardeni QuickTakes <yardeni-research@ghost.io>
Subject: ECONOMIC WEEK AHEAD: November 9-13
Date: 3 hours ago

ECONOMIC WEEK AHEAD: November 9-13



YARDENI QUICKTAKES

ECONOMIC WEEK AHEAD: November 9-13

By Ed Yardeni & Toby Hearst • 7 Nov 2026

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Photo by Monica Sauro / Unsplash

Live Economic Calendar

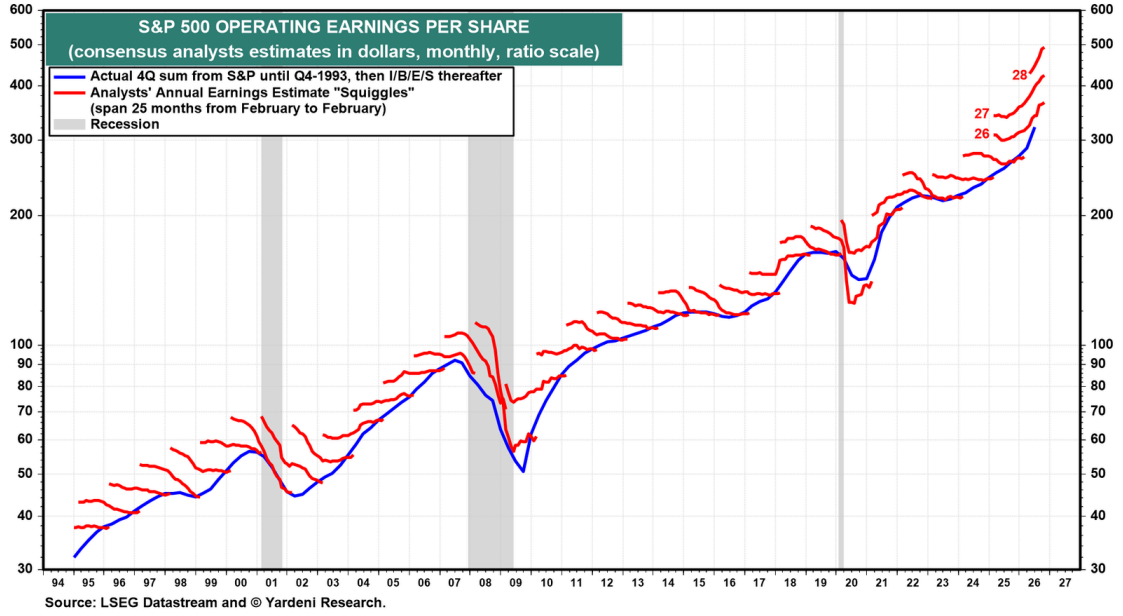
November 9–13, 2026

Monday	Tuesday	Wednesday	Thursday	Friday
9 • NY Fed Inflation Expectations Survey (Oct) • Wholesale Trade (Sep)	10 • CPI (Oct) • NFIB Small Business (Oct) • Real Earnings (Oct)	11 VETERANS DAY BOND MARKET CLOSED • Mortgage Applications (11/6)	12 • Existing Home Sales (Oct) • Housing Affordability (Oct) • US Federal Budget (Oct) • Unemployment Claims (11/7)	13 • PPI (Oct)

The S&P 500 fell 2.7% last week, and the Nasdaq dropped 4.9%, both posting their fourth straight week of losses. Thursday's 4.4% plunge in the S&P 500, its worst day since April 2025, came as investors weighed what the Democratic sweep of Congress means for the AI data center buildout. Both indexes rebounded Friday on strong jobs data, with the S&P 500 up 0.3% and the Nasdaq up 1.4%.

October's CPI (Tue) and PPI (Fri) headline this week's data calendar. Ten Fed officials are scheduled to speak, and the UK and Eurozone report Q3 GDP. Wednesday's Veterans Day holiday closes the bond market. Here's more:

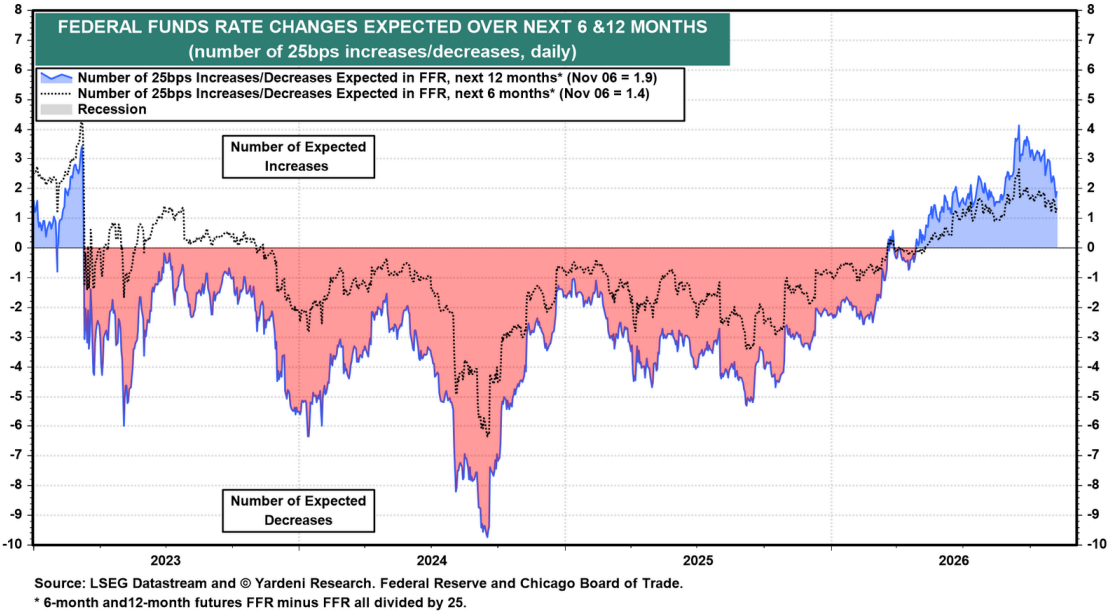
(1) Earnings season. So far, 88% of S&P 500 companies have reported their Q3 results. So 60 companies still have to report, and 13 will do so this week. The "Earnings Squiggles" for 2026, 2027, and 2028 are likely to rise even further over the remainder of this year (chart). Currently, industry analysts' consensus is that S&P 500 companies' aggregate EPS will be $366.60 this year, $426.30 next year, and $495.10 in 2028. In the past, Earnings Squiggles tended to fall because analysts were too optimistic. This time, they haven't been optimistic enough!



(2) Fedspeak. Ten Fed officials are scheduled to speak this week (Goolsbee, Barkin, Waller, Logan, Schmid, Paulson, Hammack, Daly, Williams, and Jefferson). These are their first remarks after the Democratic sweep. These Fed heads are likely hawkish on balance, especially after Friday's strong employment report.

In early October, the federal funds rate (FFR) futures implied 3.3 rate hikes over the next 12 months and 1.7 over the next six. Since then, those projections have fallen to 1.9 and 1.4 (chart). Friday's employment report lifted the odds of a December rate hike to 78%. We think the FOMC still needs another 50bps of increases to reach a neutral FFR.

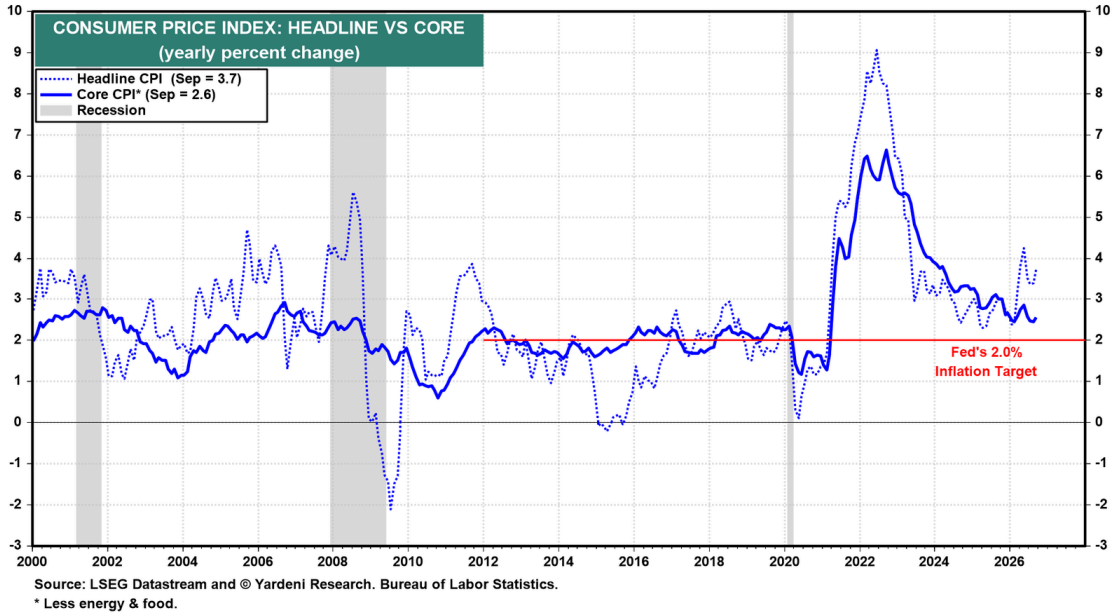
San Francisco Fed President Mary Daly told CNBC on Friday that "the job market remains stable and solid, but not booming," with real wages falling as pay lags inflation. She expects the Fed "will have to tighten policy further."



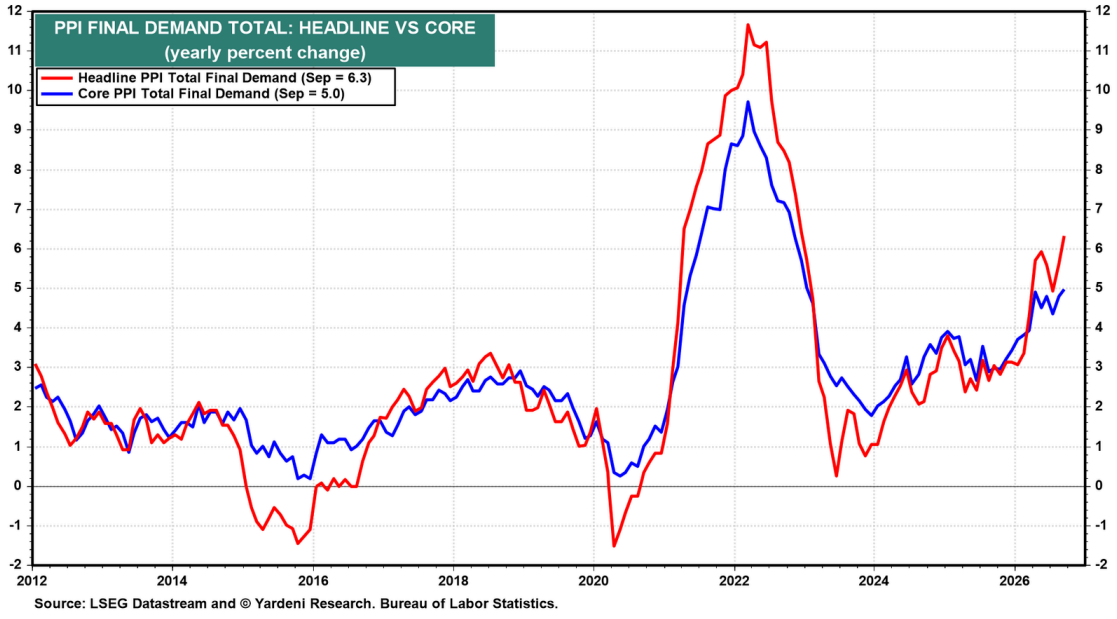
Source: LSEG Datastream and © Yardeni Research. Federal Reserve and Chicago Board of Trade.
* 6-month and12-month futures FFR minus FFR all divided by 25.

(3) Inflation. October's CPI and PPI reports will be released on Tuesday and Friday, respectively. The Cleveland Fed's Inflation Nowcasting model projects that the headline CPI rose 0.24% m/m and the core CPI 0.21% m/m. That would hold headline CPI inflation at 3.7% y/y and ease core to 2.5% from 2.6% (chart). October would mark the 68th consecutive month of CPI inflation above 2.0% y/y. The model sees both accelerating in November, to 3.9% and 2.8% y/y.

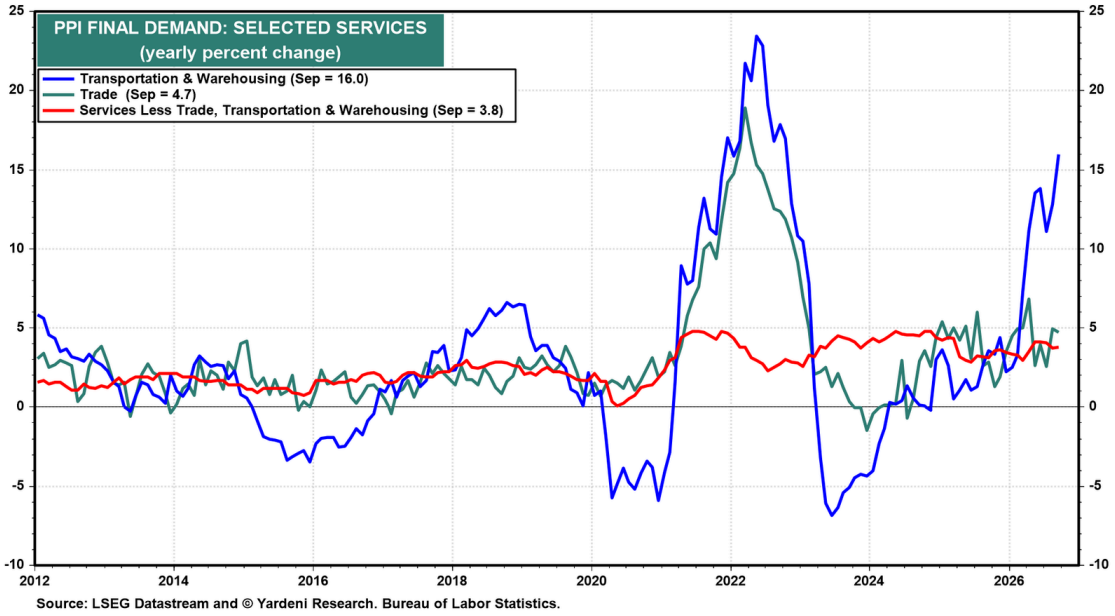
The Nowcast also suggests that October's PCED inflation will remain firmly above the Fed's 2.0% target, with the headline and core PCED inflation rates projected at 3.8% y/y and 3.2% y/y, respectively. Both are expected to heat up a bit in November.



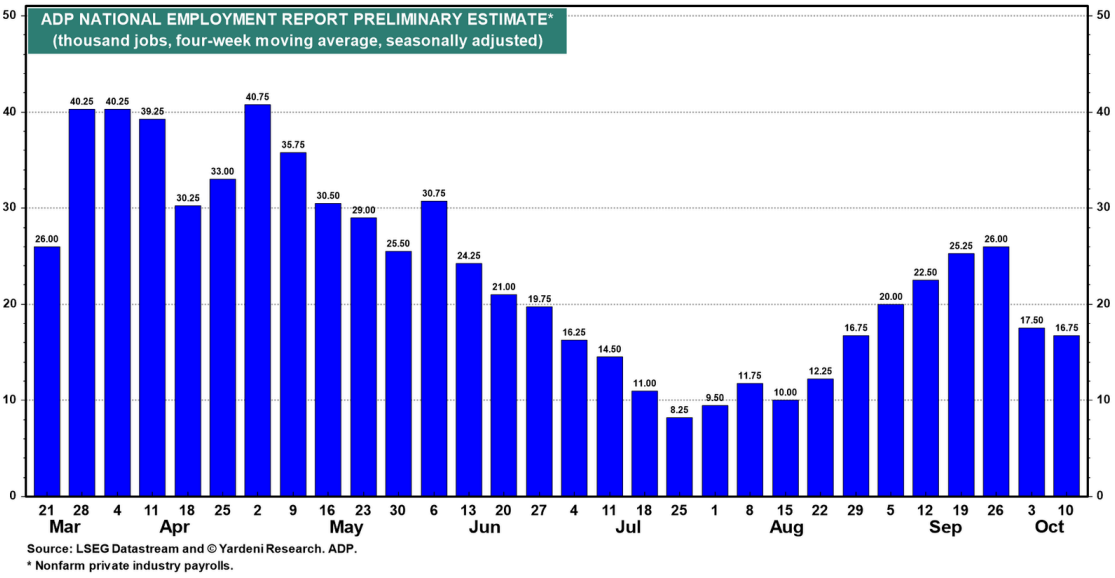
October's PPI inflation is likely to be hotter than September's headline and core readings of 6.3% and 5.0% (chart).



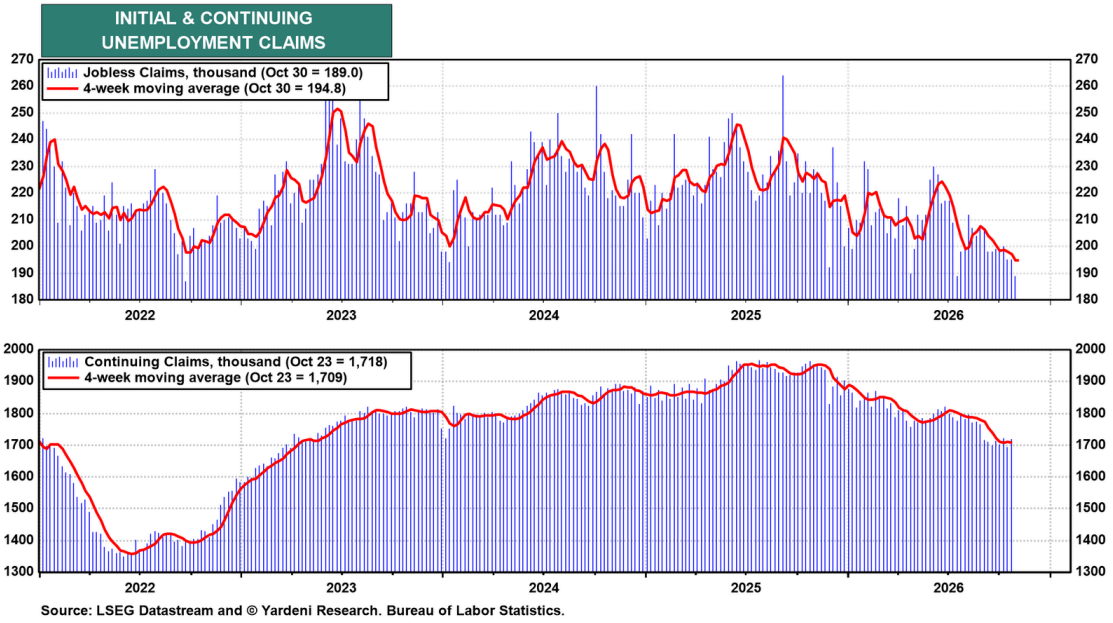
One of the more troublesome components of the PPI recently has been transportation & warehousing services, which jumped 16.0% y/y in September (chart). Soaring diesel prices are fueling inflation.



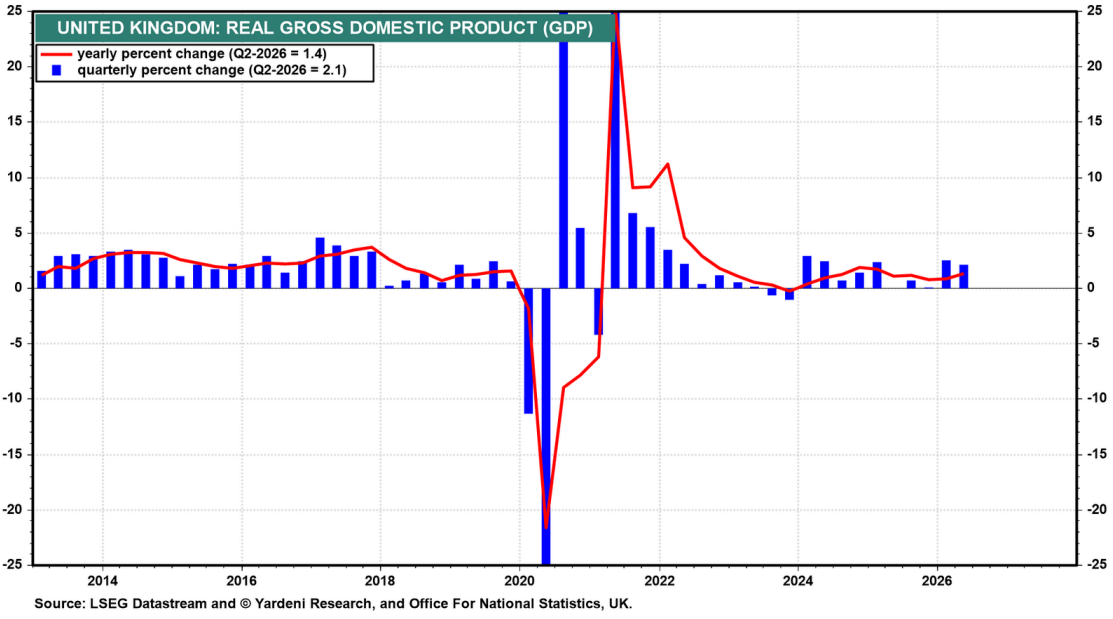
(4) ADP & unemployment claims. Payrolls rose 165,000 in October, well above the 65,000 consensus. The unemployment rate fell to 4.1% from 4.2%. ADP's weekly employment reading (Tue) follows a four-week average of 16,750 for the week ended October 10, down from 17,500 (chart). ADP's monthly report showed private payrolls up 86,000 in October, beating the 67,000 consensus.



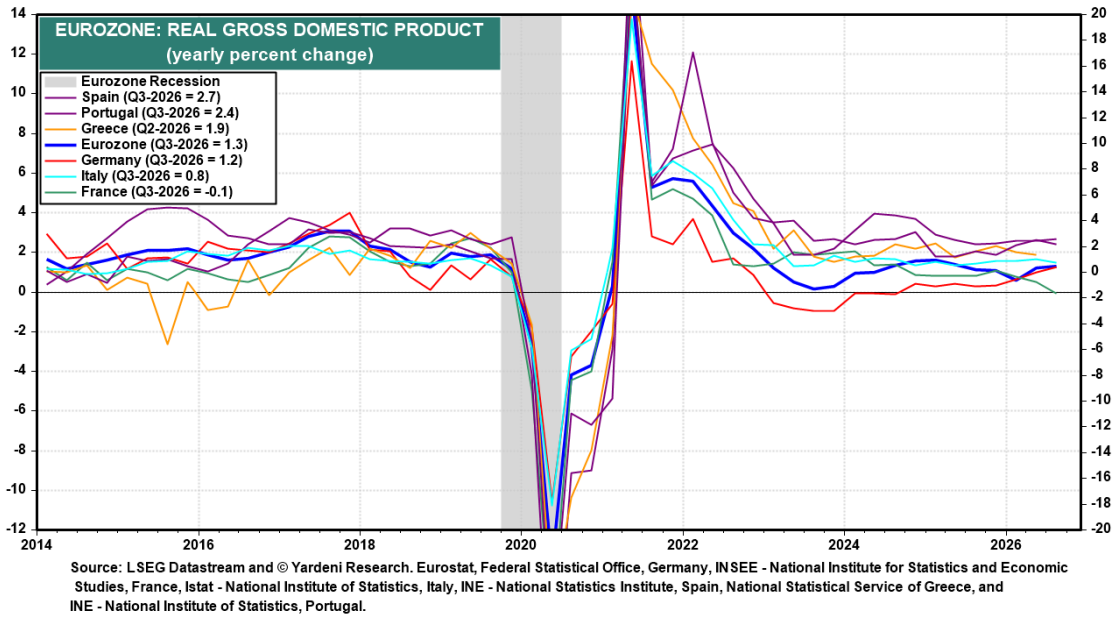
Initial jobless claims (Thu) follow last week's 189,000, with the four-week average falling to 194,750, the lowest since 1969 (chart). Continuing claims were 1,718,000 for the week ended October 23, with a four-week average of 1,709,000.



(5) Global. The UK's Q3 GDP (Thu) rose at an estimated 0.7% q/q pace, up from 0.5% in Q2, when real GDP was up 1.4% y/y (chart).



The Eurozone's updated flash estimate of Q3 GDP (Fri) follows the initial 0.4% q/q reading. Real GDP rose 1.3% y/y in Q3, with Spain leading the major economies at 2.7% and France down 0.1% (chart).



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From: Yardeni QuickTakes <yardeni-research@ghost.io>
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YARDENI QUICKTAKES

US MARKETS CALL: S&P 500 Valuation Dives As Earnings Soar

By Ed Yardeni & Toby Hearst • 7 Nov 2026

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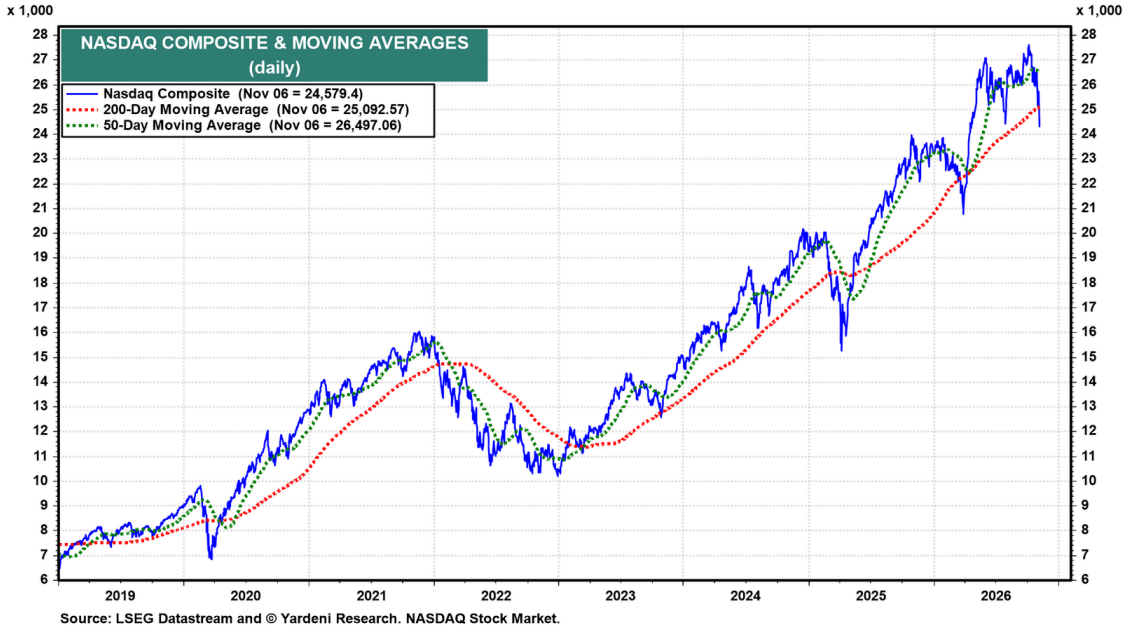
Photo by Baptiste Azais / Unsplash

The stock market dived last week. Investors priced in political backlash against data centers after Democrats swept Congress. We anticipated buying opportunities after the midterm elections, and Thursday's selloff delivered some. This remains an earnings-led bull market. Valuations are falling while earnings are soaring. We still view the AI backlash as another

speed bump, not a roadblock. We are sticking with our 7,900 year-end target for the S&P 500.

I. Performance

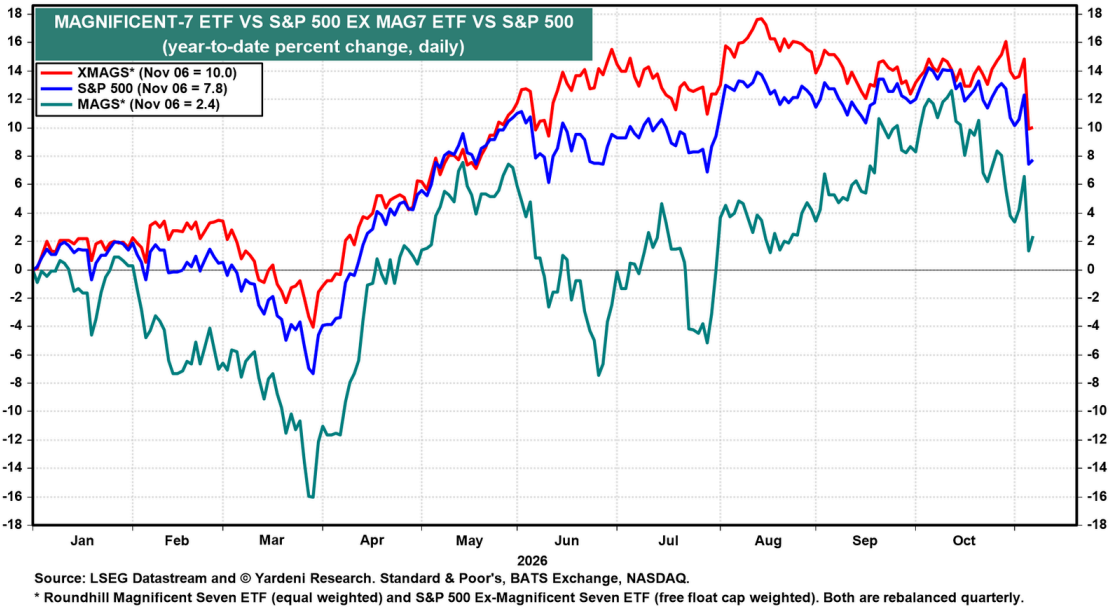
The Nasdaq entered correction territory on Thursday and closed the week below its 200-day moving average (chart). It has done this before recently. It rebounded sharply after its Spring 2025 "Liberation Day" plunge and again after the Iran war started earlier this year, quickly resuming its uptrend both times.



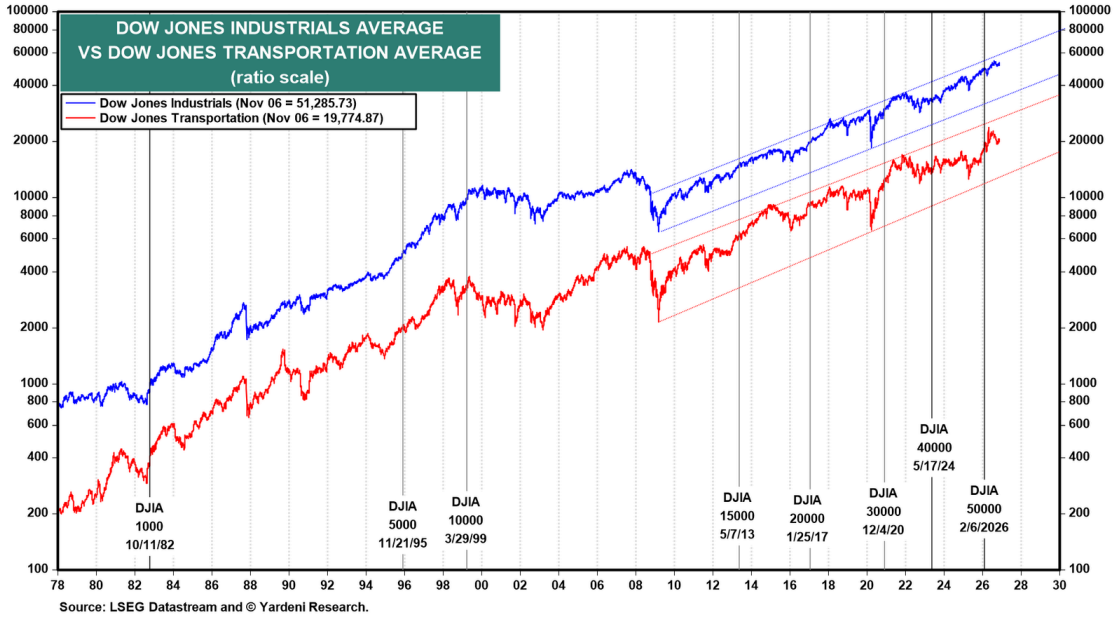
The equal-weight S&P 500 is holding up remarkably well. It remains near its recent record high and above both its 50-day and 200-day moving averages (chart). The damage has been concentrated in the AI trade, not the broader market.



The Magnificent-7 are underperforming again. The MAGS ETF is up only 2.4% ytd, versus 7.8% for the S&P 500 (chart). The Impressive-493 also took a hit this week. The XMAGS ETF includes Micron and the other semiconductor stocks hit hardest in the selloff. It is still up 10.0% ytd.



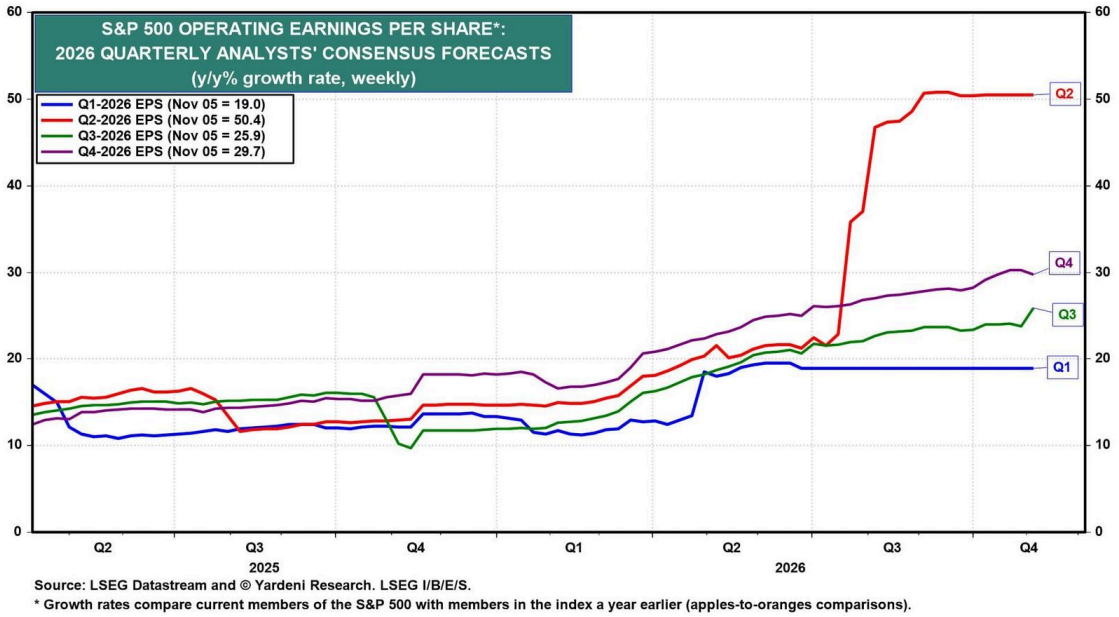
Dow Theory remains bullish. The Dow Jones Industrial Average is holding up well near its highs (chart). The Transports have lagged. They should improve if oil prices continue to fall.



II. Earnings

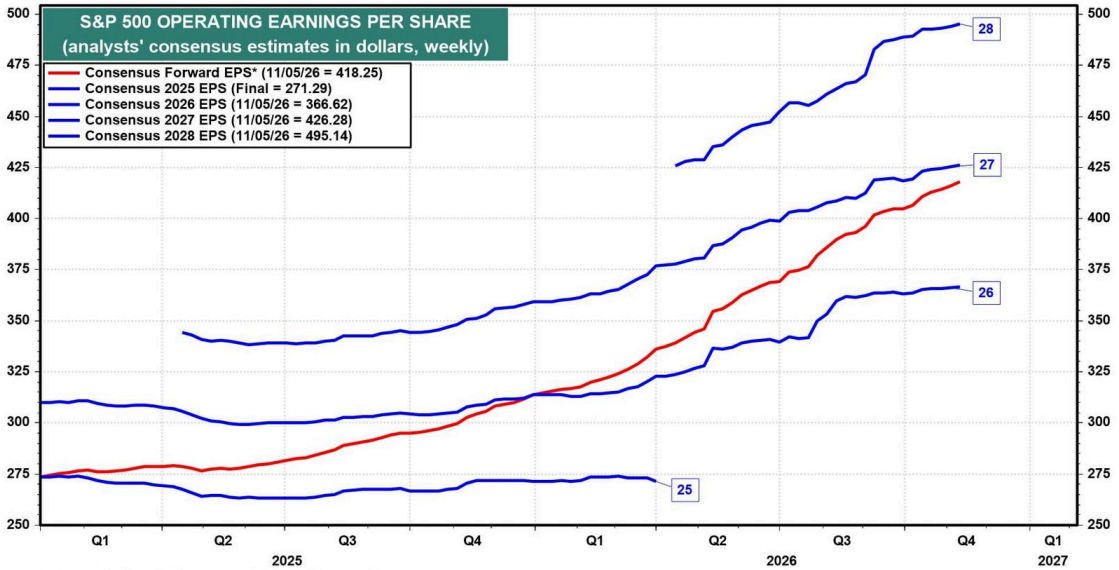
Earnings season picked up this week. The blended Q3 S&P 500 EPS growth estimate (i.e., actual results for companies that have reported, estimates for those that haven't yet) rose to 25.9% y/y from 23.8% a week earlier, helped by AMD's solid results. Q4's estimate edged down to 29.7%

(chart). As we noted previously, Q2's 50.4% y/y EPS growth rate was boosted by mark-to-market gains at Alphabet and Amazon. Excluding those, growth was closer to 25%, which is still very strong.



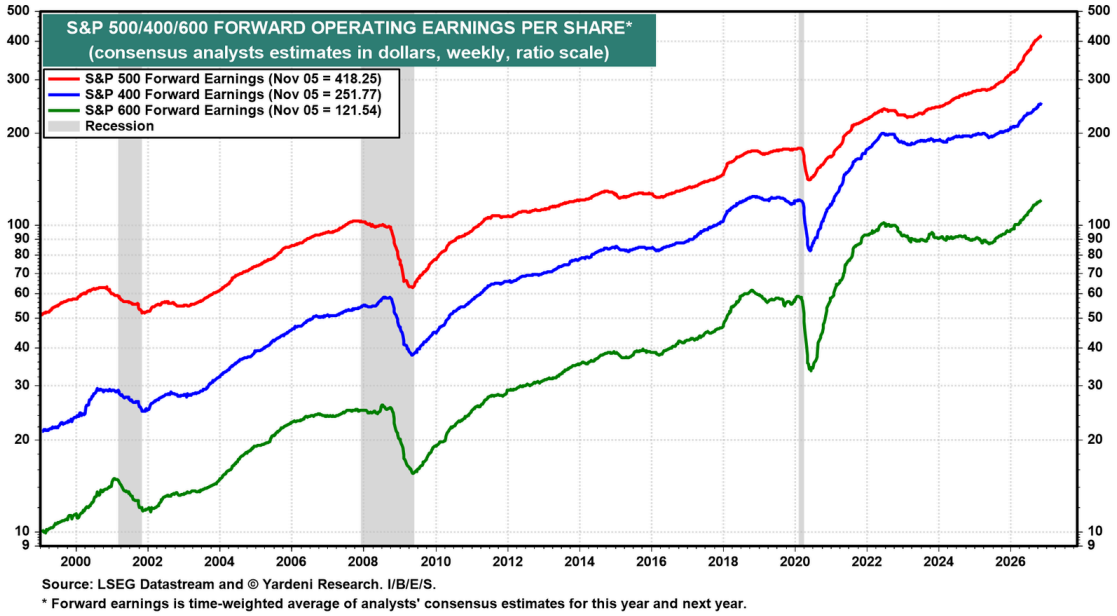
Source: LSEG Datastream and © Yardeni Research. LSEG I/B/E/S.
* Growth rates compare current members of the S&P 500 with members in the index a year earlier (apples-to-oranges comparisons).

Forward earnings rose to a record $418.25. It is converging on the 2027 estimate of $426.28, which continues to climb (chart). Analysts' 2028 consensus S&P 500 EPS estimate rose to $495.14; it's been closing in on $500—which is our target for 2030! We are bullish, but not as bullish as the analysts. The drop in the forward P/E this year suggests that investors also believe analysts are too bullish on earnings.

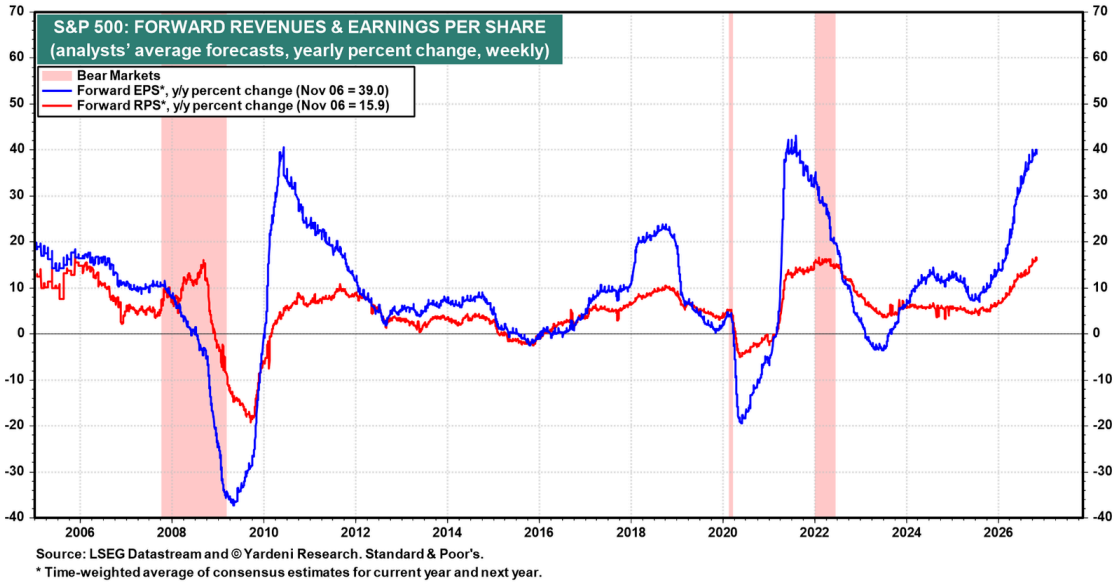


Source: LSEG Datastream and © Yardeni Research.
* Time-weighted average of analysts' consensus estimates for current and coming year.

Forward earnings for the S&P 500, S&P 400, and S&P 600 all rose to record highs again last week (chart). Earnings strength remains broad.

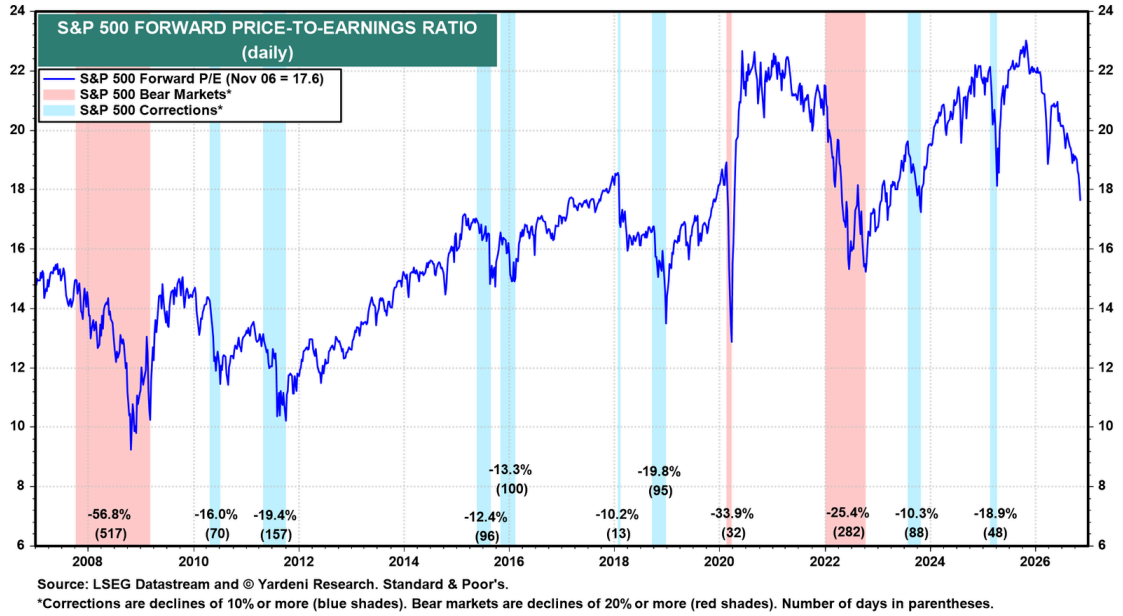


S&P 500 forward revenues per share is up 15.9% y/y, while forward earnings per share is up 39.0% y/y (chart).



III. Valuation

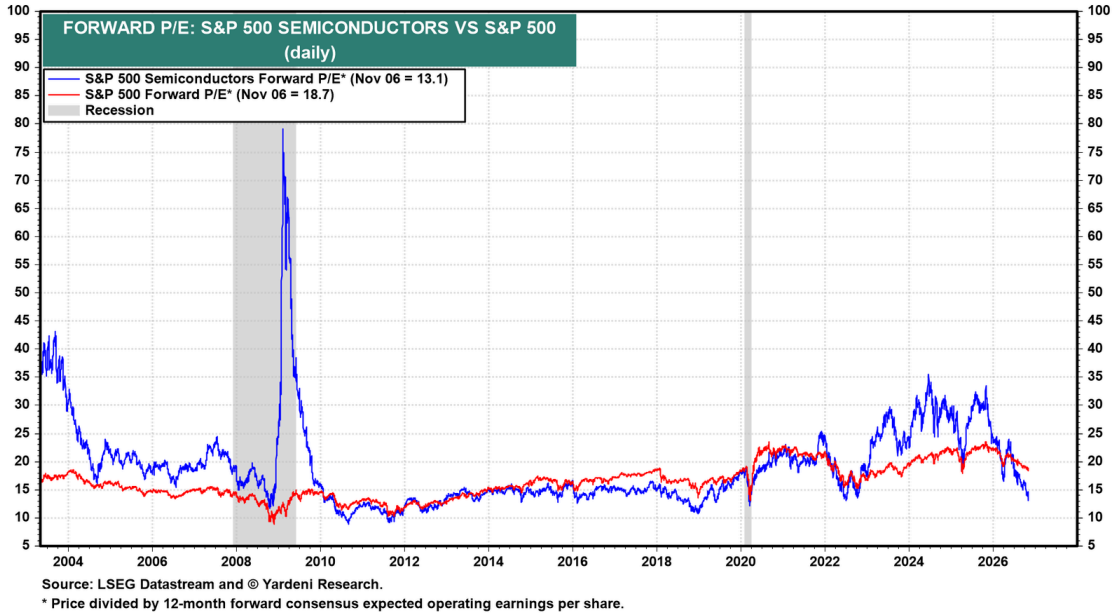
The S&P 500 forward P/E fell to 17.6 last week, below the 2025 Liberation Day low (chart). P/E plunges typically accompany corrections and recessions. The economy shows no sign of a recession anytime soon. Investors instead fear irrational exuberance in earnings forecasts.



Since the bull market began on October 12, 2022, the S&P 500 has risen 106.2%. Forward earnings is up 75.5%, while the forward P/E is up 22.5% (chart). The P/E and E both drove the rally until the forward P/E peaked in October last year. Since then, E has done all the work. Investors are finding it harder to predict the return on all the AI capital spending. They won't pay an excessive multiple given that uncertainty.

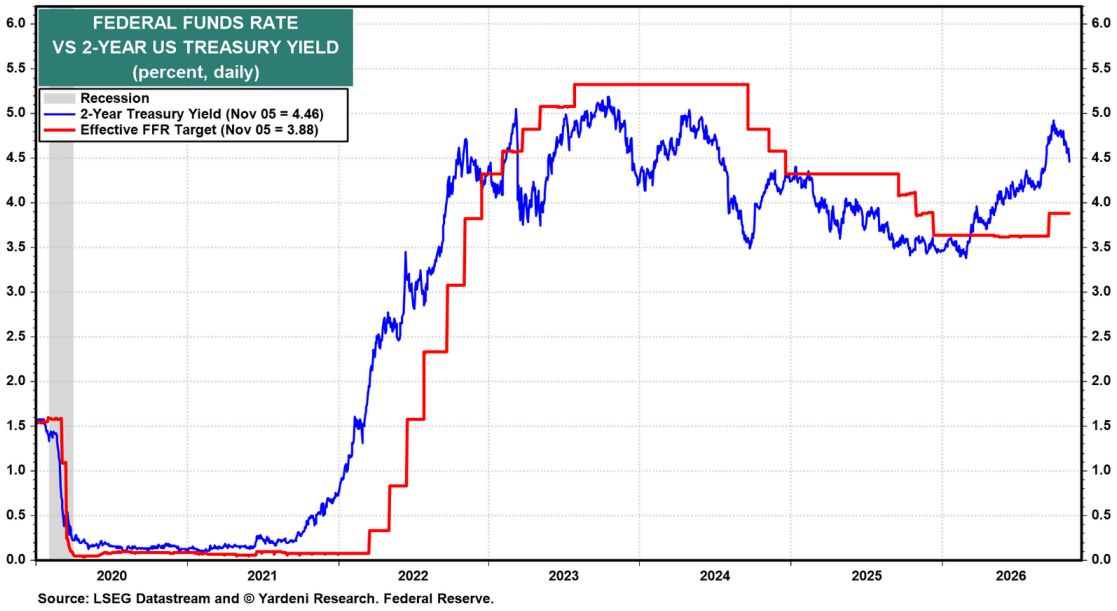


The S&P 500 Semiconductors industry accounts for much of the P/E drop. The industry index's forward P/E has plunged to 13.1, well below the S&P 500's (chart). Semis are now cheaper than they were during the 2022 bear market.

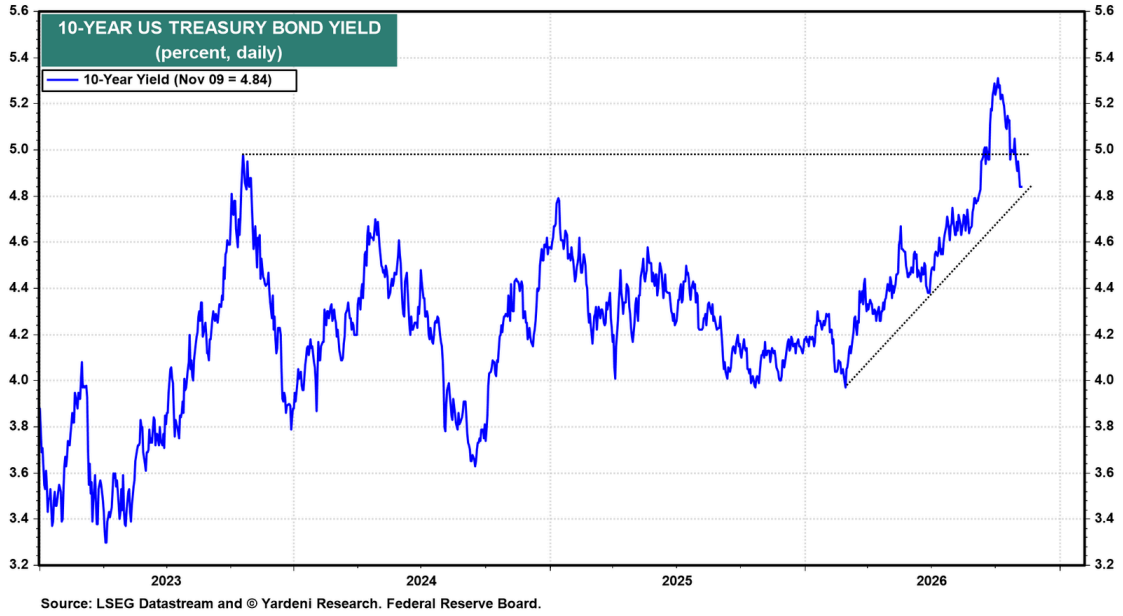


IV. Fixed Income

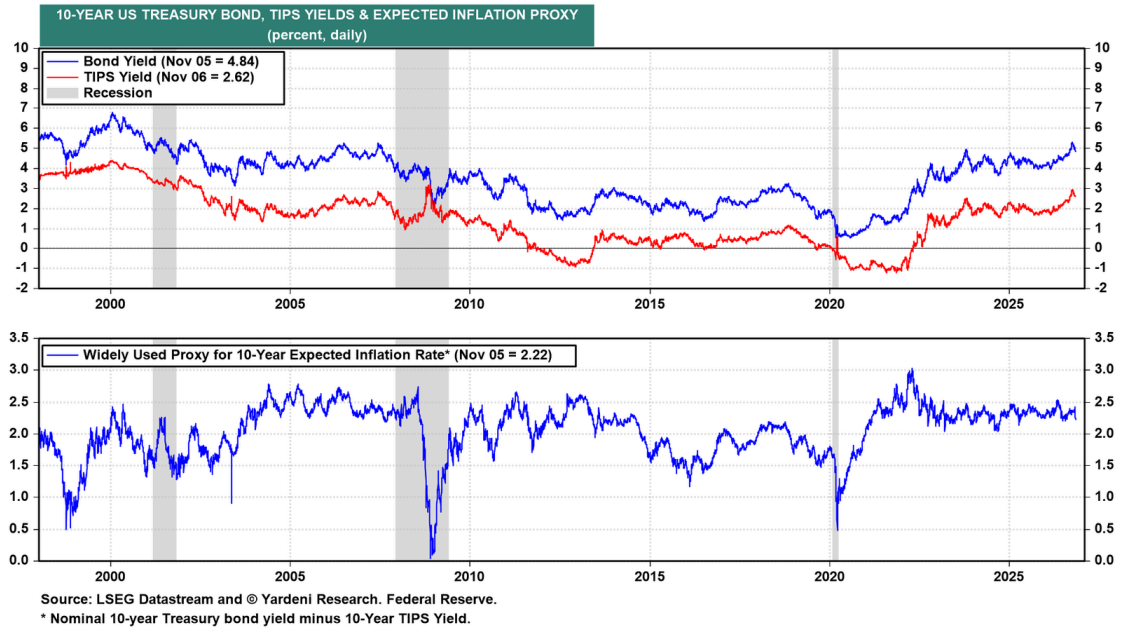
The futures market expects about two rate hikes over the next 12 months. That explains why the 2-year Treasury yield remains well above the 3.88% federal funds rate, even after easing to 4.46% following the midterms (chart).



The 10-year Treasury yield continues to fall. It dropped to 4.84% and is testing its uptrend line from last year's low (chart). We'll see if it bounces. Either way, it is back in the 4.00%-5.00% "old normal" range where we feel comfortable.



The 10-year TIPS yield fell to 2.62%. The yield spread between the 10-year Treasury and TIPS, a widely used proxy for expected inflation, eased to 2.22% (chart). That proxy tends to move with oil prices. The recent drop in crude showed up here.

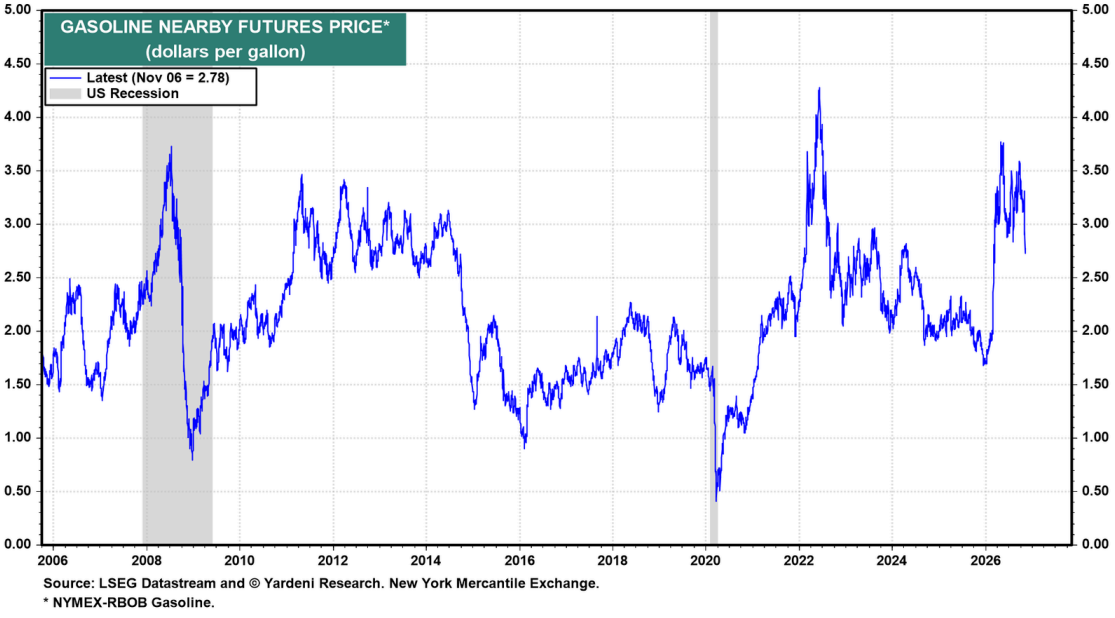


V. Commodities

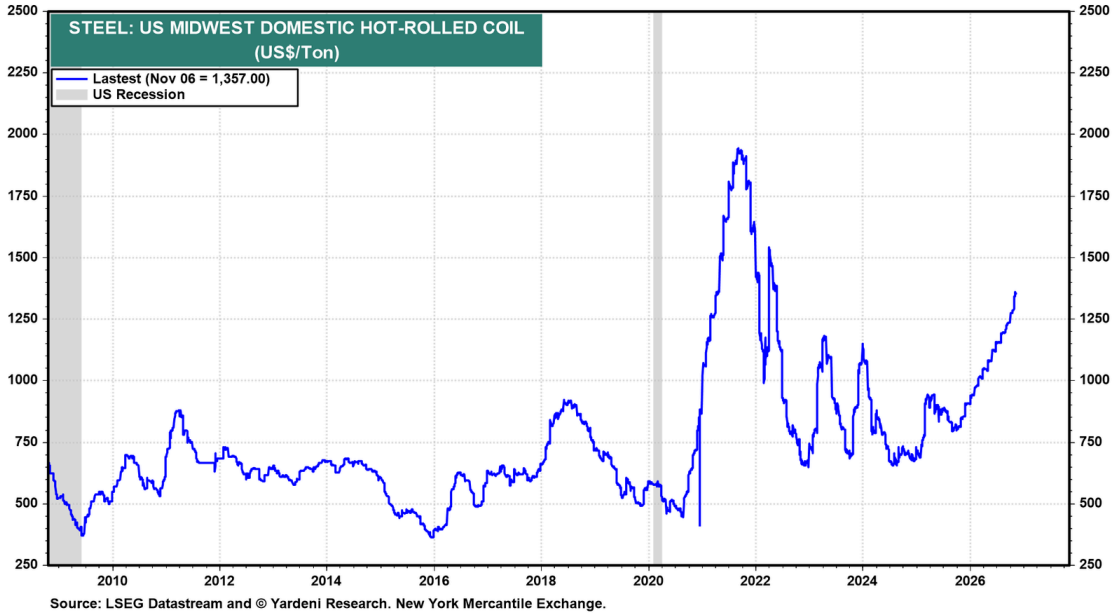
The price of Brent crude oil fell to $98.32 a barrel in recent days (chart). No news of the re-escalation of the war in the Middle East has emerged since the midterms. Hopes for a US-Iran deal are reflected in the oil market. We still see a risk of re-escalation.



Nearby gasoline futures dropped to $2.78 a gallon last week (chart). If sustained, that should start to show up as lower inflation in a couple of months. Renewed fighting in the Middle East would reverse that.



Steel prices show no sign of a slowdown in data center construction. US Midwest hot-rolled coil rose to $1,357 a ton, the highest since 2022 (chart).



Agricultural prices have eased. The S&P GSCI Agriculture Spot index fell to 376.77 last week (chart). Fears of a food price spike should subside.



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